

September 10, 2025

USTR- 2025-0043

PUBLIC DOCUMENT

Jamieson Greer
U.S. Trade Representative
Office of the United States Trade Representative
600 17th St. NW
Washington, D.C. 20006

**Re: Rebuttal Comments Of The Brazilian Corn Ethanol Association (UNEM -
União Nacional do Etanol de Milho)**

Dear Ambassador Greer:

On behalf of the Brazilian Corn Ethanol Association (União Nacional do Etanol de Milho) (“UNEM”), we submit the following rebuttal comments to the Office of the U.S. Trade Representative (“USTR”) to supplement and rebut testimony presented at the public hearing for the *Initiation of Section 301 Investigation: Brazil's Acts, Policies, and Practices Related to Digital Trade and Electronic Payment Services; Unfair, Preferential Tariffs; Anti-Corruption Enforcement; Intellectual Property Protection; Ethanol Market Access; and Illegal Deforestation; Hearing; and Request for Public Comments*, 90 Fed. Reg. 34,069 (USTR July 18, 2025).

As explained in further detail below, Brazil does not impose discriminatory or unfair trade measures on U.S. ethanol. Brazil applies an 18% MFN tariff on *all countries*. In contrast, as of September 2024, the United States imposes a targeted 52.5% tariff on ethanol imports from Brazil. Importantly, the flow of U.S. ethanol into Brazil is driven by supply and demand market conditions in Brazil – not Brazil’s tariff policies. In fact, even with Brazil’s 18 percent MFN tariff in 2024, U.S. ethanol producers had a record-breaking year in the volume of production and exports of ethanol. Given that the United States continues to dominate the global export market, claims that the United States is engaging in export targeting are baseless.

In addition, Brazil’s RenovaBio does not constitute a non-tariff barrier. Rather, RenovaBio is a voluntary program that promotes biofuels in Brazil and does not discriminate against U.S. ethanol producers. Brazilian ethanol producers operate under one of the most rigorous environmental frameworks in the world. Moreover, Brazilian corn ethanol is produced from intermediate/multicrop corn grown on consolidated agricultural areas that can harvest two

or more crops on the same land. Lastly, given the highly integrated nature of the U.S. and Brazilian ethanol industries, the United States and Brazil should collaborate to increase export demand by expanding market access in third countries and promoting the use of ethanol in emerging end-use markets.

I. BRAZIL DOES NOT IMPOSE DISCRIMINATORY TRADE MEASURES ON U.S. ETHANOL

A. The U.S. Ethanol Industry Is Flourishing

Certain Section 301 comments claim that Brazil’s trade policies have harmed the U.S. ethanol industry. However, the data and U.S. industry statements establish that the U.S. ethanol sector is thriving. As explained in UNEM’s initial Section 301 Comments (“UNEM’s Comments”),¹ in 2024, the United States produced 16.1 billion gallons of ethanol (60.1 million cubic meters) – nearly double Brazil’s production output of 8.78 billion gallons (33.2 million cubic meters).² In addition, U.S. ethanol exports set a record in 2024 with approximately 1.9 billion gallons (7.2 million cubic meters) – an increase of more than 450 million gallons (1.7 million cubic meters) from 2023, or approximately 35 percent. In contrast, Brazil exported only 319 billion gallons (1.2 million cubic meters) in 2024.³ Indeed, Sections 301 comments from U.S. ethanol producers recognize the United States’ global leadership in ethanol production and exports. As noted by the Renewable Fuels Association:

Over the last 15 years, the U.S. ethanol industry has been the most consistent global leader in ethanol production and exports. Driven by rising global demand for lower-cost fuels, reduced emissions, and better air quality, the U.S. has been a net exporter of ethanol and has become the dominant ethanol supplier globally. In 2024, U.S. ethanol exports grew 35 percent to an all-time high of 1.9 billion gallons. Canada, the United Kingdom, European Union, India, and Colombia were the top five markets, receiving a combined 75 percent of U.S. ethanol exports. U.S.-produced ethanol was shipped to 80 countries on all six inhabited continents.⁴

This all underscores that U.S. ethanol producers continue to dominate the global market and experienced record-breaking success in 2024.

¹ UNEM, “Comments Of The Brazilian Corn Ethanol Association (União Nacional do Etanol de Milho) In Response To The Request For Public Comments Regarding The Section 301 Investigation Of Certain Acts, Policies, And Practices Of Brazil Related To Ethanol Market Access,” (Aug. 18, 2023) (“UNEM Comments”), at 5.

² See UNEM Comments at 5.

³ Comex Stat, “Dados Gerais,” available at <https://comexstat.mdic.gov.br/pt/geral/117372>.

⁴ Renewable Fuels Association, “Docket ID: USTR-2025-0043: Request for Comments on the Section 301 Investigation of Acts, Policies, and Practices of Brazil Related to Digital Trade and Electronic Payment Services; Unfair, Preferential Tariffs; Anti-Corruption Enforcement; Intellectual Property Protection; Ethanol Market Access; and Illegal Deforestation,” (Aug. 18, 2025) (“RFA Comments”).

B. Brazilian Tariffs Do Not Impact U.S. Ethanol Exports To Brazil

Some commentators argue that Brazil's imposition of tariffs discriminates against U.S. ethanol and has resulted in the decline of U.S. exports to Brazil.⁵ These arguments are deeply flawed. Brazil applies an 18% MFN tariff on *all countries*, which is lower than the 20% Common External Tariff on ethanol applied by other MERCOSUR countries. In contrast, as of September 2025, the United States imposes a targeted 52.5% tariff on ethanol imports from Brazil, which significantly impacts Brazil ethanol producers' ability to access the U.S. market. Although certain commentators argue that Brazil provides preferential market access to ethanol from certain countries pursuant to trade agreements (*e.g.*, EU-MERCOSUR trade agreement), such agreements are compatible with multilateral trade rules. Indeed, the United States maintains comprehensive free trade agreements with 20 countries as well as a critical minerals trade agreement with Japan. Collectively these U.S. agreements, which reduce or eliminate tariffs and provide increased market access across various sectors, represent a much broader trade preference policy than that of Brazil.

In addition, changes in Brazil's tariffs on ethanol have not had an impact on U.S. ethanol exports in Brazil. Rather, the flow of U.S. ethanol trade to Brazil is driven by the rate of Brazilian ethanol production and local demand.⁶ As recognized by U.S. industry comments, Brazilian sugarcane production – which has historically shaped Brazil ethanol production – “faces seasonal limitations, resulting in a need for imports to complement domestic production.”⁷ In recent years, Brazil's corn ethanol production has grown substantially and,⁸ as such, Brazilian corn ethanol producers have been able to serve the domestic market during domestic sugarcane crop shortfalls. Notably, this trend is expected to accelerate: production reached 8.2 million tons in 2024/25 and is projected to nearly double to 17.51 million tons by 2029/30, eventually surpassing 21 million tons by 2034/35.

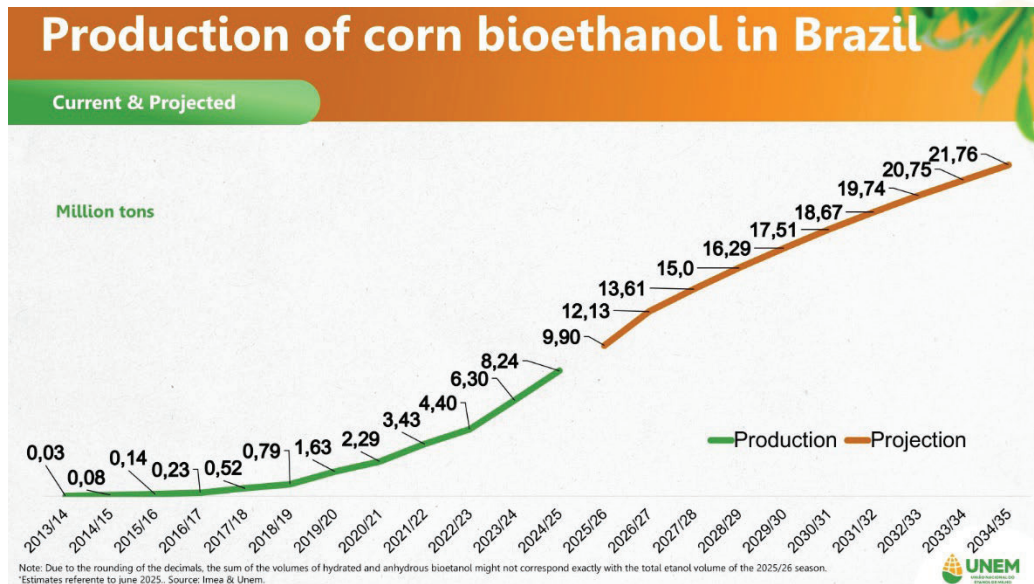
⁵ See National Corn Growers Association, “National Corn Growers Association Public Comment on the Section 301 Investigation of Brazil's Acts, Practices, and Policies on Ethanol Market Access (USTR-2025-0043),” (Aug. 18, 2025) (“NCGA Comments”) at 5-6.

⁶ UNEM Comments at 4-5.

⁷ Growth Energy Comments at 3.

⁸ *Initiation of Section 301 Investigation: Brazil's Acts, Policies, and Practices Related to Digital Trade and Electronic Payment Services; Unfair, Preferential Tariffs; Anti-Corruption Enforcement; Intellectual Property Protection; Ethanol Market Access; and Illegal Deforestation; Hearing; and Request for Public Comments*, 90 Fed. Reg. 34,069 (USTR July 18, 2025).

Production of Corn Ethanol in Brazil (Current & Projected), Source: UNEM



Moreover, as explained in UNEM’s Comments, the trade data demonstrates the lack of correlation between Brazilian tariff policies and U.S. ethanol exports. For example, in the 2022/23 period, Brazil’s tariff on ethanol was 0%; however, U.S. ethanol exports decreased. In fact, U.S. exports to Brazil were higher in the 2024/25 period at 44.2 million gallons (167.2 thousand cubic meters) – with an 18 percent MFN tariff – than in 2022/23 when U.S. ethanol exports were only 31.5 million gallons (119.1 thousand cubic meters).⁹ This underscores that U.S. ethanol primarily serves as a supply safety net during production deficits in Brazil, and the volume of U.S. ethanol exports to Brazil is not a direct result of Brazil’s tariff policies. Any fluctuation in the flow of U.S. ethanol to Brazil is a response to supply and demand conditions in the country.

Certain commenters assert that Brazil’s tariffs on ethanol resulted in the loss of export volumes that were critical to the commercial viability of the U.S. industry.¹⁰ However, historically bilateral U.S.-Brazil ethanol trade is minimal, with U.S. exports of Brazil representing only 1.04 percent of total U.S. exports to Brazil between 2015 and 2024.¹¹ As the two largest global ethanol producers, the United States and Brazil have a limited need for imports to meet domestic demand and the majority of each country’s production is dedicated to domestic consumption. Moreover, as explained above, U.S. exports are thriving – even with the

⁹ UNEM Comments at 4-5.

¹⁰ See Kansas Grain and Feed Association, and Renew Kansas Biofuels Association, “Docket Number USTR-2025-0043, Proposed Actions Under Section 301 Investigation of Brazil’s Trade Practices,” (July 23, 2025), (“KGFA Comments”) at 2.

¹¹ UNEM Comments at 7.

current 18% tariff – which demonstrates that there is no correlation between Brazilian tariff policies and the performance of U.S. ethanol industry.

C. Brazil Does Not Impose Non-Tariff Barriers on U.S. Ethanol Producers

As noted by the U.S. Grains and Bioproducts Council during the public hearing, Brazilian biofuel policies “promote the principles of free competition in the market for biofuels and the protection of consumers’ interests as to price, quality, and offer of products.”¹² Yet some commenters assert that Brazil’s RenovaBio program constitutes a non-tariff barrier on U.S. ethanol. Specifically, these commenters argue that while Brazilian ethanol producers benefit from access to the U.S. market under the U.S. Environmental Protection Agency’s (“EPA”) Renewable Fuel Standard (“RFS”) and California’s Low Carbon Fuel Standard (“LCFS”), the RenovaBio program creates market access barriers for U.S. ethanol producers. These arguments are without merit. RenovaBio is a voluntary program that promotes biofuels in Brazil and does not discriminate against U.S. ethanol producers; meanwhile, Brazilian corn ethanol producers continue to face significant market access barriers in the U.S. market.

In 2019, Brazil launched RenovaBio, which promotes the production, commerciality, and use of biofuels. RenovaBio establishes the framework to certify biofuel production based on efficiency in reducing greenhouse gas emissions, and it allows for the sale and trade of decarbonization credits. Brazil’s Oil and Gas Regulatory Agency (“ANP”) certifies biofuel producers and importers. RenovaBio certification requires primary farm-level data to demonstrate the traceability of raw materials and prohibits the use of biofuels sourced from areas of native vegetation converted after November 2018. Beyond traceability, the program also calculates the Energy-Environmental Efficiency Grade for carbon, which can be determined using either farm-specific emission data or default emission factors provided by RenovaCalc. If producers or importers are unable to provide primary farm-level data, they must rely on the default values.

Certain commenters assert that the RenovaBio certification requirements create a technical barrier that prevents U.S. ethanol producers from qualifying under the program and disadvantages U.S. producers in the Brazilian market. This is incorrect. First, the RenovaBio is a **voluntary program** and – unlike the mandatory RFS and LCFS standards that Brazilian ethanol producers are required to meet to export to the United States and access the California market, respectively – U.S. ethanol producers are not required to be certified under RenovaBio to export to Brazil. Second, both domestic Brazilian and foreign producers (including U.S. producers) are eligible to participate in the RenovaBio program and are subject to the same eligibility criteria.

¹² “In the Matter Of: USTR 301 Investigation Hearing,” Office of the U.S. Trade Representative (Sept. 3, 2025), at 82, available at https://ustr.gov/sites/default/files/files/Issue_Areas/Enforcement/Section%20301/Transcript%20from%20Public%20Hearing.pdf (“USTR Hearing Transcript”).

Although certain commenters assert that the RenovaCale’s carbon accounting model unfairly inflates the carbon score of U.S. corn ethanol, in reality, all producers – American and Brazilian alike – who do not (1) meet the eligibility requirements and (2) provide primary data are subject to the default value.¹³ For instance, as of today, there are seven Brazilian corn ethanol plants registered under RenovaBio: three plants utilize exclusively primary data, while three other plants adopt a hybrid approach by combining primary and default data in order to mitigate potential penalties and one other plant relies solely on default data that subjects it to significant penalization. Notably, the U.S. industry itself concedes that the default value “is also applied to Brazilian producers” if they fail to provide the required data.¹⁴ In fact, U.S. producers have qualified under the RenovaBio program. The ANP has approved a RenovaBio certificate for corn ethanol imported by Copersucar and produced by Plymouth Energy LLC based in Iowa.¹⁵

In addition, some comments argue that U.S. producers face challenges to meet RenovaBio’s land use change eligibility criteria because Brazil does not recognize “aggregate compliance,” which is used by the EPA to determine compliance under the RFS land use change requirement. The decision to not accept the aggregate approach is not based on a rejection of U.S. methodologies. Rather, in international carbon markets like the EU and under certification schemes like CORSIA, the most robust and widely adopted standard for demonstrating eligibility is based on having supporting material evidence and documentation. This approach ensures traceability and provides stronger guarantees that the claimed low-emission profile is being effectively achieved, making it a recognized global best practice.

As explained in UNEM’s Comments, Brazilian corn ethanol producers face market access barriers in the U.S. market, including the land eligibility and physical segregation and traceability standards (a.k.a. EPA’s Biointermediate Ruling) under the RFS as well as pending EPA and California Air Resources Board petitions which have been stalled for years.¹⁶ Although the EPA has established certain documentation flexibilities for sugarcane ethanol to more easily satisfy the RFS standards, these flexibilities were never extended to corn ethanol, which prevents Brazilian corn ethanol producers from accessing the U.S. market even when they meet equivalent or stricter environmental standards. Moreover, the EPA’s proposed rule for 2026 and 2027 includes an “Import RIN Reduction” which would reduce by 50 percent the RIN credits

¹³ Additionally, under the eligibility requirements producers in Brazil must also demonstrate compliance with the Forest Code and agroecological zoning. This information is verified through a public database by the inspection firms. However, these requirements are less stringent for U.S. producers who must only make a *self-declaration* that they comply with local environmental legislation.

¹⁴ Growth Energy Comments at 9.

¹⁵ See “Certificados da Produção ou Importação Eficiente de Biocombustíveis,” [Ministério de Minas e Energia](https://www.gov.br/anp/pt-br/assuntos/renovabio/certificados-producao-importacao-eficiente-biocombustiveis), available at <https://www.gov.br/anp/pt-br/assuntos/renovabio/certificados-producao-importacao-eficiente-biocombustiveis>; ANP authorizes the first US ethanol producer to issue CBIOS, Eixos (Aug. 21, 2025), available at https://eixos.com.br/combustiveis-e-bioenergia/biocombustiveis/anp-habilita-primeiro-produtor-de-etanol-dos-eua-para-emitir-cbios/?utm_source=newsletters+eixos&utm_campaign=86b8fbc388-EMAIL_CAMPAIGN_2025_08_21_11_32&utm_medium=email&utm_term=0_-86b8fbc388-505770450.

¹⁶ UNEM Comments at 8.

generated for imported renewable fuels or domestically produced fuels using foreign feedstocks.¹⁷ This proposal is not based on environmental standards; rather it is specifically designed to target imports and, if finalized, this rule would place Brazilian corn ethanol at a further disadvantage in the U.S. market. Lastly, the “One Big Beautiful Bill” excludes Inflation Reduction Act incentives (including 45Z) for ethanol imported from Brazil.

In short, U.S. producers are, in fact, eligible for and certified under the RenovaBio program. However, Brazilian producers still face regulatory barriers that effectively block Brazilian corn ethanol from accessing the U.S. market.

D. Brazil Is Not Engaging In Export Targeting

Certain commenters have asserted that Brazil is engaging in export targeting and undermining U.S. exports in third country-markets.¹⁸ However, these arguments are baseless. Section 301(d)(3)(E) defines “export targeting” as “any government plan or scheme consisting of a combination of coordinated actions (whether carried out severally or jointly) that are bestowed on a specific enterprise, industry, or group thereof, the effect of which is to assist the enterprise, industry, or group to become more competitive in the export of a class or kind of merchandise.”¹⁹

As explained above, the United States dominates the global ethanol market. In 2024, the United States exported 11.9% of its ethanol production – the highest level in the past decade. In contrast, Brazil exported 5.0% of its ethanol production in the 2024/25 period.²⁰ Indeed, the vast majority of Brazilian ethanol production is dedicated to domestic consumption. Brazil has encouraged domestic ethanol consumption by raising the mandatory anhydrous ethanol blend in gasoline (which is as high as 30 percent in 2025) and promoting hydrous ethanol through tax incentives for flex-fuel vehicles and preferential taxation for ethanol relative to gasoline.²¹

Some comments assert that the EU-MERCOSUR deal provides Brazilian producers with preferential access to the EU market that will cause U.S. exporters to lose market share.²² However, the United States has recently engaged in trade deals with the EU and UK to increase access for American ethanol exports.²³ Similarly, the USTR should disregard arguments suggesting that the use of Brazilian ethanol to produce ETBE in the United States for export undermines U.S. ethanol in Japan and other third-country markets.²⁴ In fact, this arrangement

¹⁷ “EPA’s Proposed RFS ‘Set 2’ Rule, U.S. Environmental Protection Agency, available at <https://www.epa.gov/system/files/documents/2025-06/420f25007.pdf>.

¹⁸ See NCGA Comments at 7; USTR Hearing Transcript at 98-99.

¹⁹ 19 U.S.C. § 2411(d)(3)(E).

²⁰ AmCham Comments at 8.

²¹ See UNEM Comments at 2-3.

²² See Growth Energy Comments at 2.

²³ See “Fact Sheet: U.S.-UK Reach Historic Trade Deal,” The White House (May 8, 2025), available at <https://www.whitehouse.gov/fact-sheets/2025/05/fact-sheet-u-s-uk-reach-historic-trade-deal/>; “RFA Applauds Trump Administration’s Trade Deal with EU,” Renewable Fuels Association (July 28, 2025), available at <https://ethanolrfa.org/media-and-news/category/news-releases/article/2025/07/rfa-applauds-trump-administration-s-trade-deal-with-eu>.

²⁴ See Growth Energy Comments at 11.

demonstrates the highly-integrated nature of the Brazilian and U.S. ethanol industries. The USTR should reject any proposal to exclude Brazilian ethanol from duty drawback or impose measures to “prohibit or severely restrict imports of Brazilian ethanol (either for direct consumption, for re-export, for input into another process, etc.)” because such actions would ultimately harm U.S. domestic production, employment, and exports.²⁵

II. THE BRAZILIAN ETHANOL INDUSTRY ADHERES TO STRICT ENVIRONMENTAL STANDARDS

Certain Section 301 comments assert that Brazil’s weak enforcement of environmental and land-use laws provides Brazilian ethanol producers with an unfair advantage in global markets. However, any linkage between Brazilian ethanol and deforestation is unfounded and no evidence to support this argument was presented at any time during the hearing.

Brazilian ethanol producers operate under one of the most rigorous environmental frameworks in the world, the Brazilian Forest Code, which requires that up to 80 percent of native vegetation be preserved in the Amazon biome and is strictly enforced with satellite monitoring and penalties. On average, half of the land area of rural properties in Brazil is protected by national legislation. The area designated for the preservation of native vegetation on rural properties through Legal Reserves and Permanent Preservation Areas – registered and mapped in the Rural Environmental Registry – represents a quarter of the national territory (25.6%). Furthermore, areas preserved through conservation units and indigenous lands together represent 206 million hectares, or 24.2% of Brazil. Together, protected and preserved areas in rural areas total 423 million hectares, or 49.8% of Brazil.²⁶

Moreover, to combat deforestation, Brazil adopted ANP Resolution No. 984, which amended the RenovaBio program to require eligible ethanol producers to demonstrate that their feedstock crop was not produced on land that was deforested after 2018. Therefore, while some commentators have called for Brazil to alter its strict land use change eligibility requirements under RenovaBio, such a change would, in fact, undermine Brazil’s effective enforcement of its environmental laws and regulations against deforestation.

Brazilian corn ethanol is produced from intermediate/multicropping corn grown in periods of the year that main cash crops are not cultivated in. Therefore, contrary to conventional practice, corn ethanol produced from intermediate/multicrop corn does not require additional land for its production because it is not competing with other crops for food or feed. For instance, scientific papers²⁷ dedicated to this case find that it reduces the demand for

²⁵ See *id.*

²⁶ EMBRAPA TERRITORIAL. **Agricultura e preservação ambiental: uma análise do cadastro ambiental rural.** Campinas, 2020, available at www.embrapa.br/car

²⁷ Gurgel, A. C., J. E. A. Seabra, S. F. Arantes, M. M. R. Moreira, L. R. Lynd, R. Galindo, 2024. Contribution of double-cropped maize ethanol in Brazil to sustainable development. *Nature Sustainability*, 7, 1429-1440, available at <https://doi.org/10.1038/s41893-024-01424-5>; Moreira, M.M.R., J. E. A. Seabra, L. R. Lynd, S. M. Arantes, M.P. Cunha and J. J. M. Guilhoto. 2020. “Socio-environmental and land-use impacts of double-cropped maize ethanol in

agricultural land by producing DDG that replaces part of the demand for soybean and corn in animal feed enabling reforestation.

Looking back, evidence shows that multicropping has grown in consolidated and long-standing agricultural areas.²⁸ Looking ahead, there are still around 16.6 million hectares of available and suitable soybean area in Brazil where the second corn can expand without incorporating new agricultural lands.²⁹ This set of evidence reinforces the recognition of the sustainability of (Brazilian) double crop corn ethanol as having Low ILUC impact in most in the international certification, including CORSIA, RSB, ISCC, EU-RED.

The recent decision from the International Civil Aviation Organization (“ICAO”) to recognize the environmental benefits of multicropping in producing sustainable aviation fuel (“SAF”) reinforces that the global community recognizes the science and sustainability of the rigorous practices used in the Brazilian ethanol sector.

The need to improve the CORSIA ILUC models to address multicropping was presented and recognized by CORSIA experts for the first time in 2017, during CAEP/11-AFTF/5. It has been discussed extensively and in-depth by the ICAO, where the United States has played a leading role throughout different administrations. A methodology (weighted average approach for significant multicropping) was then proposed by CORSIA leads based on scientific evidence, and CORSIA recognized ILUC values. This methodology is available for all countries and was approved and adopted by 29 (out of 30 votes) ICAO State Council countries. This case was additionally addressed by the recognition of Low LUC practices (with zero ILUC value) and certified at the individual project level.

III. THE UNITED STATES AND BRAZIL SHOULD COLLABORATE TO EXPAND THE GLOBAL MARKET FOR ETHANOL PRODUCERS

The American and Brazilian corn ethanol sectors are highly integrated. The Brazilian ethanol industry is a significant importer of U.S. production equipment, technology, and inputs, which have generated over \$1 billion U.S. dollars in value for the United States. Moreover, there are ethanol producers in Brazil owned by American companies – distributing over \$338 million U.S. dollars in dividends to U.S. shareholders.³⁰

As a result, any trade action against Brazilian ethanol risks adversely impacting U.S. exports, supply chains, and revenue. As UNEM and other commentators have explained, Brazil

Brazil.” Nature Sustainability, 3, 209–216, available at <https://doi.org/10.1038/s41893-019-0456-2>; FIORINI, Ana Carolina Oliveira et al. Sustainable aviation fuels must control induced land use change: an integrated assessment modelling exercise for Brazil. Environmental Research Letters, v. 18, n. 1, p. 014036, 2023.

²⁸ Garofalo, D. F. T., Novaes R. M., Aguiar D. A. et al. Land use change, management, and CO2 balance of second-crop corn in Brazil, 28 August 2025, PREPRINT (Version 1) available at Research Square, available at <https://doi.org/10.21203/rs.3.rs-7358018/v1>.

²⁹ EPE (2024). Análise de Conjuntura dos Biocombustíveis - ano 2023. Nota técnica, available at https://www.epe.gov.br/sites-pt/publicacoes-dados-abertos/publicacoes/PublicacoesArquivos/publicacao-834/NT-EPE-DPG-SDB-2024-03_ACBios_Ano2023.pdf

³⁰ UNEM Comments at 3-4.

and the United States should focus their efforts on collaborating to expand emerging markets, such as maritime and SAF – the latter of which the U.S. industry has recognized as “an area where U.S. companies are making significant advancements, which holds the promise for joint innovation and expanded biofuel market access.”³¹ Indeed, by 2030, aviation and maritime shipping will account for over 75 percent of new biofuel demand, with average consumption rising by 30 percent.³² Moreover, Brazil and the United States should work together to address market access barriers in third-country markets, where protectionist policies harm both U.S. and Brazilian ethanol producers.

IV. CONCLUSION

Brazilian trade policies have not negatively impacted U.S. ethanol producers or undermined U.S. competitiveness in global markets. The flow of U.S. ethanol imports into Brazil is driven by supply and demand conditions in Brazil, not the country’s tariff policies. In fact, even with Brazil’s 18 percent MFN tariff in 2024, U.S. ethanol producers had a record-breaking year in the volume of production and exports of ethanol. Brazil dedicates the majority of its production to domestic consumption and programs, such as RenovaBio, that promote the production and use of biofuels in Brazil. Both U.S. and Brazilian producers are eligible to be certified under the RenovaBio program; however, the United States maintains non-tariff barriers put in place by prior Administration that effectively block Brazilian imports of corn ethanol from entering the U.S. market. Moreover, the Brazil ethanol industry operates under strict environmental standards, including the use of multicropping to produce corn ethanol.

Given the highly integrated nature of the U.S. and Brazilian ethanol industries, the United States and Brazil should collaborate to increase export demand by expanding market access in third countries and promoting the use of ethanol in emerging end-use markets.

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³¹ See U.S. Chamber of Commerce Comments at 16.

³² UNEM Comments at 9-12.